Aditya Vision Ltd

27 January 2026

Well-placed to deliver strong growth; margins to normalize with store maturity

RESULT UPDATE

Sector: Specialty Retail **Rating: BUY**
CMP: Rs 482 **Target Price: Rs 657**

Stock Info

Sensex/Nifty	81,823 / 25,240
Bloomberg	AVL IN
Equity shares	129
52-wk High/Low	Rs 598 / 328
Face value	Rs 1
M-Cap	Rs.61.1bn/US$0.67bn
3-m Avg Turnover	$ 1.1 mn

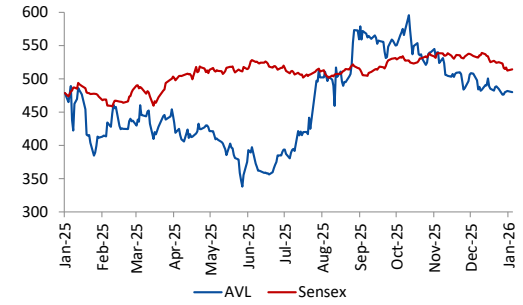
Financial Snapshot (Rs mn)

Y/E Mar	FY26E	FY27E	FY28E
Sales	26,462	33,418	41,024
Adj. PAT	1,237	1,661	2,145
Adj. EPS (Rs)	9.6	12.9	16.7
PE (x)	50.1	37.3	28.9
EV/EBITDA (x)	26.1	20.2	16.2
P/BV (x)	9.0	7.4	6.0
EV/Sales	2.3	1.8	1.4
RoE (%)	17.9	19.8	20.7
RoCE (%)	20.3	21.8	22.4
NWC (days)	77.1	77.1	77.1
Net gearing (x)	0.1	0.0	-0.1

Shareholding pattern (%)

	Dec-25	Sep-25	Jun-25
Promoter	47.1	47.3	53.2
–Pledged	-	-	-
FII	17.7	18.8	17.7
DII	17.5	16.5	9.8
Others	17.7	17.5	19.3

Stock Performance (1-year)



Chetan Mahadik
chetanmahadik@systematixgroup.in
+91 22 6704 8091

Vijay Jangir
vijayjangir@systematixgroup.in
+91 22 6704 8029

Aditya Vision Ltd's (AVL IN) 3QFY26 revenue growth was above expectations; operating margin was below expected due to higher operating expenses while PAT was marginally above expectations led by higher than estimated other income. Revenue/ EBITDA/ Adjusted PAT growth stood at 27.6%/ 13.8%/ 19.1% YoY in 3QFY26. SSSG stood at 17%. Revenue growth was driven by festive season and post GST 2.0 demand uptick. Gross margin expanded 20 bps YoY to 15.8% aided by improved product mix. EBITDA margin declined 100 bps YoY to 8.2% led by higher other operating expenses. Adjusted PAT grew 19.1% YoY to Rs 288 mn. On store expansion front, company added 4 stores in Q3FY26. Total store count now stands at 192.

The company navigated a challenging first half due to external headwinds such as an extended monsoon, GST transition uncertainty, and muted cooling product demand. However, it witnessed a strong rebound in demand post implementation of the revised GST slabs, festive triggers, and improved affordability. With macroeconomic tailwinds (direct cash transfers in Bihar, free electricity scheme in Uttar Pradesh, salary revisions under the 8th Pay commission, personal tax relief - Union Budget FY25) and internal operational readiness, management remains confident of delivering strong growth in the remainder of FY26. Moreover, the upgradation of BEE energy efficiency norms led to a shift towards 3 star and above rated AC models which has driven OEM pricing discounts on outgoing models which will further boost sales.

We expect AVL to increase its store count to 201 by FY26E. Calendar year 2026 is expected to see company's expansion in markets of Chhattisgarh and Madhya Pradesh. We believe AVL would continue to post double-digit SSSG to generate 22%/ 26.7% revenue/ PAT CAGR over FY25-FY28E. Gradual maturing of newly opened stores would drive growth moving forward. We are building in 22%/ 21.4%/ 26.7% revenue/ EBITDA/ PAT CAGR over FY25-FY28E. AVL's foray in new geographies shall keep margins range bound at ~8.7-8.9% over FY26-FY28E. We maintain our BUY rating with a revised target price of Rs 657 (vs Rs 652 earlier) based on 24x Dec 2027 EV/ EBITDA.

Financial performance and profitability

- Strong festive momentum: The period from Durga Puja to Chhatt Puja saw a 37% growth, providing a major boost to the quarter's performance.
- Same store sales growth (SSSG): Q3 SSG stood at 17%, a notable increase from the 12% recorded in the previous year. For 9MFY26, however, SSSG was 5% due to the weak Q1.
- Exceptional expenses: The company recorded a Rs 150 mn one-time expense for additional provisioning related to new labor codes. After this adjustment, PAT for the quarter was Rs 270 mn.

Investors are advised to refer disclosures made at the end of the research report.

Operational challenges and strategic spending

- Operating expense drivers: Margins moderated largely due to higher operating expenses. This was driven by aggressive marketing and promotional activities in larger Uttar Pradesh (UP) cities like Lucknow and the booking of employee bonuses during the quarter.
- Store maturity and leverage: Management highlighted that 96 stores—nearly half of their total count—were opened in the last 3 years and are still in a nascent stage. Because these stores typically take 3 years to mature, the company expects significant operating leverage in the future as these locations begin to contribute more robustly to the bottom line.
- Inventory positioning: Inventory levels are currently higher because Aditya Vision took advantage of OEM discounts on room air conditioners following changes in energy efficiency norms. This opportunistic stocking is intended to prepare the company for the upcoming summer season.

Product category insights

- High-performing sectors: Washing machines and panel televisions both led growth, with each category increasing by more than 30%.
- Mobiles and laptops: Mobile phone sales grew by 20%. Despite global memory chip issues, management expects 4% to 6% price increases starting in January, though they anticipate demand will remain robust.
- Air Conditioners: AC sales grew 22% in Q3, though they have only grown 2% over the 9 month period due to the poor Q1 performance.

Aggressive geographic expansion

- Store count: The company reached 192 stores by December 31, 2025, and is confident it will surpass 200 operational stores by the end of FY26.
- The UP Opportunity: While Bihar remains the primary revenue driver (75% in Q3), management sees tremendous potential in UP, where they currently operate in only 24 of 75 districts. They are now specifically targeting the wealthier segment in Western UP.
- New state entries: Aditya Vision is expanding into Chhattisgarh and Madhya Pradesh (MP) within the current calendar year. They plan to focus on 8 to 10 cities in Chhattisgarh and ~15 cities in MP, targeting larger urban centers with high disposable income.

Outlook

- Growth guidance: Management maintains a conservative 20-25% growth guidance, though they aim to exceed these figures.
- Funding and liquidity: The company stated that no further fund raising is required; internal accruals and existing bank lending are sufficient for their current expansion and inventory needs.
- Q1 FY27 anticipation: Due to the wash out of the previous summer, management expects a very strong pent-up demand for cooling products in the next financial year's first quarter.

Exhibit 1: Quarterly performance

YE March (Rs mn)	Q3FY26	Q3FY25	Q2FY26	YoY (%)	QoQ (%)
Net Revenues	**6,489**	**5,085**	**4,575**	**27.6**	**41.8**
Purchase of stock in trade	5,553	4,599	5,169	20.7	7.4
(% of sales)	85.6	90.4	113.0		
Stock adjustment	(88)	(306)	(1,283)	(71.4)	(93.2)
(% of sales)	(1.4)	(6.0)	(28.0)		
Gross Profit	**1,024**	**792**	**689**	**29.2**	**48.6**
Gross margin (%)	**15.8%**	**15.6%**	**15.1%**	**20 bps**	
Employee cost	223	159	171	40.7	30.3
(% of sales)	3.4	3.1	3.7		
Others	271	168	171	61.3	58.5
(% of sales)	4.2	3.3	3.7		
EBITDA	**530**	**466**	**347**	**13.8**	**52.7**
EBITDA margin (%)	**8.2**	**9.2**	**7.6**	**-99 bps**	
Other income	38	18	22	111.6	76.5
PBIDT	**568**	**484**	**369**	**17.4**	**54.1**
Depreciation	103	85	103	21.2	0.2
Finance cost	88	87	99	1.7	(10.6)
PBT	**377**	**312**	**167**	**20.8**	**125.6**
Tax	88	70	40	26.6	122.1
ETR (%)	23.5	22.4	23.8		
Adjusted PAT	**288**	**242**	**127**	**19.1**	**126.7**
PATAMI margin	4.4	4.8	2.8	**-32 bps**	
Exceptional item	15	0	0		
Reported PAT	**273**	**242**	**127**	**12.8**	**114.7**
No. of shares (mn)	129.1	128.6	128.6		
Adj EPS (Rs)	**2.2**	**1.9**	**1.0**		

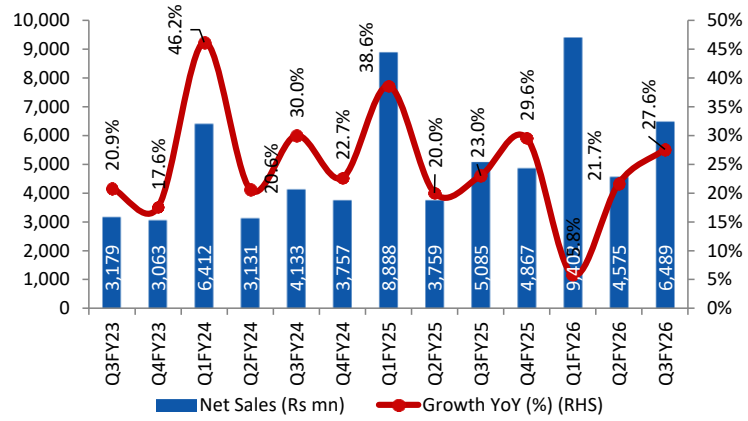
Source: Company, Systematix Research

Exhibit 2: Change in estimates

	Old estimates			Revised estimates			Variation (%)		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Net sales	26,664	33,795	41,732	26,462	33,418	41,024	-0.8%	-1.1%	-1.7%
EBITDA	2,375	2,998	3,708	2,289	2,954	3,653	-3.6%	-1.5%	-1.5%
EBITDA margin	8.9%	8.9%	8.9%	8.7%	8.8%	8.9%			
Adj. PAT	1,244	1,667	2,137	1,237	1,661	2,145	-0.5%	-0.4%	0.4%

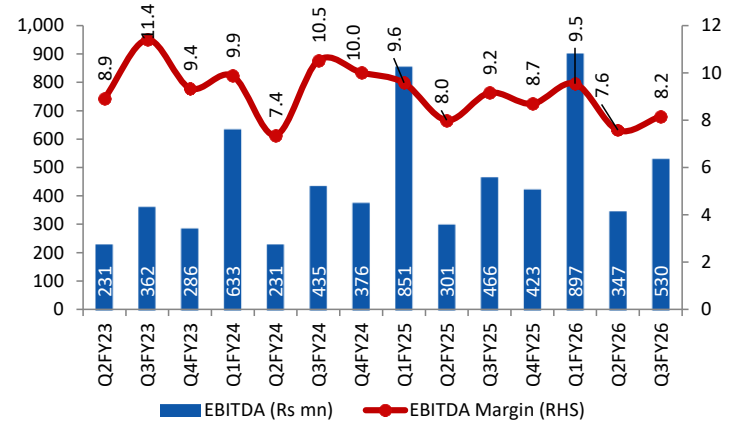
Source: Company, Systematix Research

Exhibit 3: Revenue grew 27.6% YoY



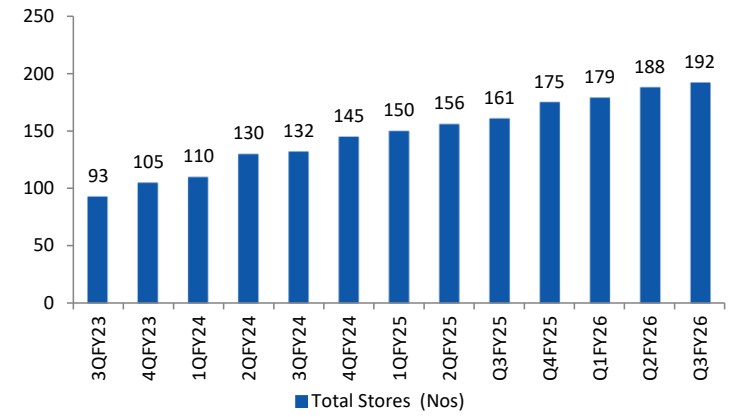
Source: Company, Systematix Research

Exhibit 4: EBITDA margin dropped by 100bps, stood at 8.2%



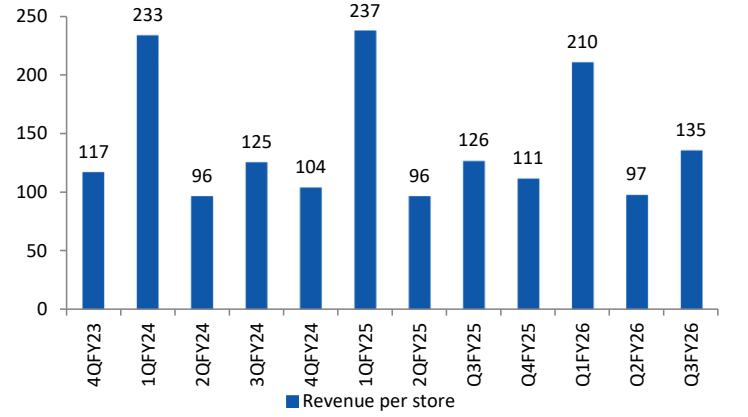
Source: Company, Systematix Research

Exhibit 5: 4 stores opened during 3Q26



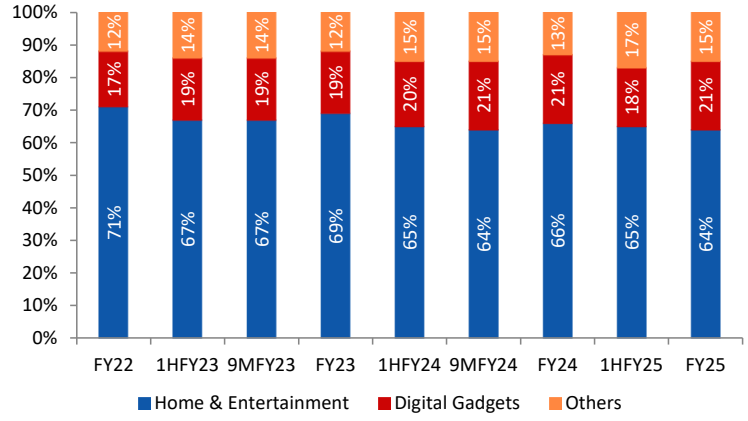
Source: Company, Systematix Research

Exhibit 6: Revenue per store – Annualized (Rs mn)



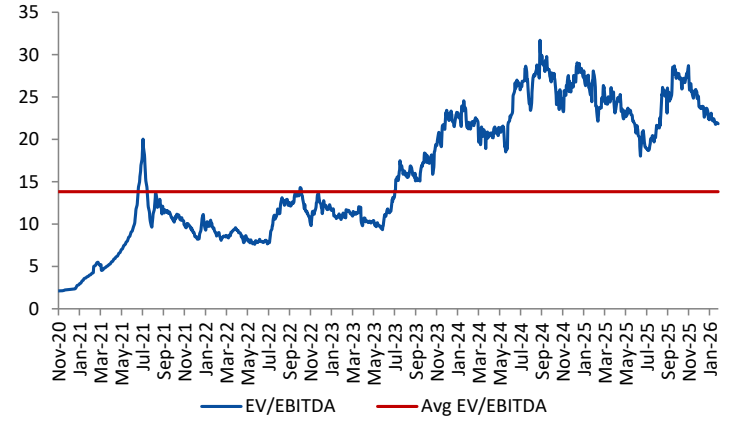
Source: Company, Systematix Research

Exhibit 7: Product mix for AVL



Source: Company, Systematix Research

Exhibit 8: Currently trades at 21.9x 1 year forward EV/EBITDA



Source: Company, Systematix Research

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Revenue	**17,433**	**22,598**	**26,462**	**33,418**	**41,024**
Gross profit	2,778	3,550	4,128	5,247	6,482
GP margin (%)	15.9%	15.7%	15.6%	15.7%	15.8%
Operating profit	**1,675**	**2,040**	**2,289**	**2,954**	**3,653**
OP margin (%)	9.6%	9.0%	8.7%	8.8%	8.9%
Depreciation	286	370	398	465	518
EBIT	1,389	1,670	1,891	2,489	3,135
Interest expense	388	317	365	362	360
Other income	65	78	109	117	125
Profit before tax	1,067	1,431	1,635	2,244	2,899
Taxes	296	376	397	584	754
Tax rate (%)	27.7%	26.3%	24.3%	26.0%	26.0%
Adj. PAT	**771**	**1,054**	**1,237**	**1,661**	**2,145**
Exceptional loss	-	-	-	-	-
Net profit	771	1,054	1,237	1,661	2,145
EPS	**6.3**	**8.2**	**9.6**	**12.9**	**16.7**

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
Equity capital	128	129	129	129	129
Reserves	4,739	5,708	6,778	8,259	10,225
Debt	1,253	2,784	2,534	2,284	2,034
Deferred tax liab (net)	-	-	-	-	-
Other non current liabilities	1,790	1,811	2,411	3,011	3,611
Total liabilities	**7,910**	**10,431**	**11,851**	**13,682**	**15,998**
Fixed Asset	784	1,060	1,085	1,122	1,141
Investments	-	-	-	-	-
Other Non-current Assets	2,107	2,042	2,404	2,731	3,026
Inventories	**4,331**	**6,982**	**6,525**	**8,240**	**10,116**
Sundry debtors	4	3	4	5	6
Cash & equivalents	**962**	**1,213**	**2,181**	**2,218**	**2,674**
Loans and Advances	565	934	980	1,029	1,081
Sundry creditors	620	1,487	942	1,190	1,461
Other current liabilities	225	317	385	472	584
Total Assets	**7,910**	**10,431**	**11,851**	**13,682**	**15,998**

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY24	FY25	FY26E	FY27E	FY28E
PBIT	1,067	1,431	1,635	2,244	2,899
Depreciation	286	370	398	465	518
Tax paid	(334)	(371)	(397)	(584)	(754)
Working capital Δ	(1,312)	(1,782)	(88)	(1,468)	(1,606)
Other operating items	232	(56)	210	196	184
Operating cashflow	**(61)**	**(408)**	**1,757**	**854**	**1,242**
Capital expenditure	(334)	(370)	(756)	(798)	(798)
Free cash flow	**(395)**	**(779)**	**1,001**	**56**	**444**
Equity raised	2,809	5	-	-	-
Investments					
Debt financing/disposal	(1,453)	1,531	(250)	(250)	(250)
Interest Paid	(517)	(317)	(256)	(245)	(236)
Dividends paid	(156)	(116)	(167)	(180)	(180)
Other items	-	(162)	640	656	678
Net Δ in cash	**140**	**86**	**967**	**37**	**456**

Source: Company, Systematix Research

Ratios

YE: Mar	FY24	FY25	FY26E	FY27E	FY28E
Revenue growth (%)	31.8	29.6	17.1	26.3	22.8
Op profit growth (%)	25.9	21.8	12.2	29.1	23.6
Net profit growth (%)	20.1	36.8	17.4	34.2	29.2
OPM (%)	9.6	9.0	8.7	8.8	8.9
Net profit margin (%)	4.4	4.7	4.7	5.0	5.2
RoCE (%)	20.9	21.8	20.3	21.8	22.4
RoNW (%)	15.8	18.1	17.9	19.8	20.7
EPS (Rs)	6.3	8.2	9.6	12.9	16.7
DPS (Rs)	0.9	1.1	1.3	1.4	1.4
BVPS (Rs)	40.2	45.4	53.7	65.2	80.5
Debtor days	0	0	0	0	0
Inventory days	91	113	90	90	90
Creditor days	13	24	13	13	13
P/E (x)	76.3	59.1	50.1	37.3	28.9
P/B (x)	12.0	10.6	9.0	7.4	6.0
EV/EBITDA (x)	34.2	29.8	26.1	20.2	16.2

Source: Company, Systematix Research

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Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in
Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in
Details of Email id grievance redressal cell : grievance@systematixgroup.in
Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840 | AMFI : ARN - 64917